

20-30 metres, the location offers a significant opportunity to develop a world-class deep-draft transshipment terminal capable of handling next-generation main-line vessels.

The project is being constructed in two phases. According to the project documents, Phase-II constitutes the primary revenue-generating phase of the project for the concessionaire. During Phase-I, the concessionaire is expected to largely achieve financial break-even.

Being built as a joint venture, the project will have a minimum 55% shareholding by an Indian-Owned and Controlled entity.

Galathea Bay is geographically closer than Port Klang and Singapore, enabling both mother vessels and feeder vessels to achieve logistics cost savings if transshipment activities are shifted from these established foreign hubs to Galathea Bay, according to the Ministry of Shipping, Ports and Waterways (MoSPW).

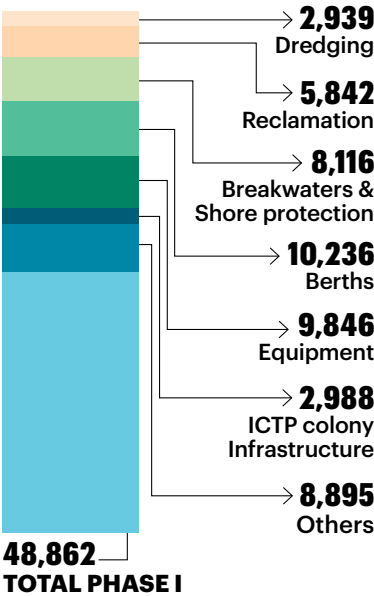
“The proposed ICTP at Galathea Bay is a significant milestone in India’s long-term maritime infrastructure journey. Its strategic location near the Strait of Malacca, one of the world’s busiest shipping corridors, positions it well to strengthen India’s play in the global container shipping network serving not only Indian trade but also trade across other countries,” said Ravi Jakhar, Director, Strategy and Group CFO, Allcargo Group.

However, he argues that there will be no gateway cargo as Galathea Bay Port does not have any catchment area.

“Containers will come from Kolkata, Paradeep and Chennai to this place and then another mother ship will carry them to

PROJECT COST

- JV model has been adopted due to high project cost
- Initial infrastructure is capital intensive



COST (IN ₹CRORE)
SOURCE MOPSW

their final destinations. Now, Vizhinjam Port has become operational, and it is big enough to take care of the transshipment load of the country. This port could end up competing for traffic with Vizhinjam,” he explains.

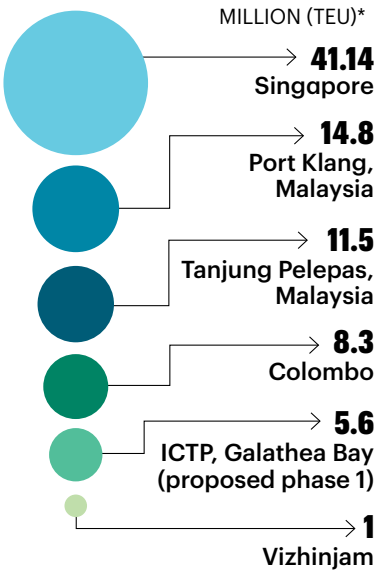
India is also building new deep-water terminals at existing ports in Chennai, Odisha and Gujarat to capture transshipment traffic now routed through foreign ports.

STRATEGIC IMPORTANCE

The proposed project at Galathea Bay has high strategic importance

RULING THE INDIAN OCEAN

- Singapore and Port Klang are key transshipment ports
- Vizhinjam is India’s first transshipment port



* TWENTY-FOOT EQUIVALENT UNITS (TEUs) OF CONTAINER
SOURCE MOPSW

from both defence and commercial perspectives, particularly in the context of neighbouring countries continuously enhancing their port infrastructure and defence capabilities in the Indian Ocean region.

Defence experts say it would improve India’s ability to monitor maritime trade and military movements in the region. The Strait of Malacca is the primary chokepoint in Asia and Oceania and the world’s largest oil transit chokepoint by volume, with about 29% of global maritime oil flowing through the strait, according